

OIL AND GAS LEASE

(Producers 88 -- Paid-Up) Form No. TX-88-PB

THIS AGREEMENT made this January 15, 2025, by and between Margaret A. Caldwell, a single woman ("Lessor", whether one or more), and Llano Estacado Operating, LLC ("Lessee").

1. Granting Clause

Lessor, in consideration of \$1,500.00 per net mineral acre and the covenants herein, grants, leases, and lets exclusively unto Lessee the land described below for the purpose of exploring for, drilling, and producing oil and gas, together with rights of ingress and egress.

2. Description of Leased Premises

The leased premises are situated in Midland County, Texas, and described as: Section 14, Block 39, T-2-S, Texas & Pacific Ry. Co. Survey, Abstract No. 1187, containing 640.00 acres, more or less (the "Leased Premises").

3. Primary Term

This lease shall remain in force for a primary term of three (3) years from the effective date (the "Primary Term") and as long thereafter as oil or gas is produced in paying quantities from the Leased Premises or lands pooled therewith.

4. Royalty

Lessee shall pay Lessor a royalty of one-fourth (1/4) of the gross proceeds of all oil and gas produced and sold from the Leased Premises, free of costs of production but bearing its proportionate share of post-production costs as permitted by law.

5. Shut-In Royalty

If a well capable of producing gas is shut in, Lessee may maintain this lease by paying a shut-in royalty of \$50.00 per net mineral acre per year.

6. Pooling

Lessee may pool the Leased Premises with other lands to form a unit not exceeding 640 acres (plus 10% tolerance) for an oil well or 1,280 acres for a horizontal gas well, in conformity with applicable spacing rules.

7. Warranty and Surrender

Lessor warrants title to the Leased Premises. Lessee may surrender this lease, in whole or in part, by recording a release. This lease binds the heirs, successors, and assigns of the parties.

IN WITNESS WHEREOF, the parties execute this lease as of the effective date.

LESSOR: Margaret A. Caldwell, a single woman

LESSEE: Llano Estacado Operating, LLC

STATE OF TEXAS

COUNTY OF MIDLAND

This instrument was acknowledged before me on the date written above by Margaret A. Caldwell, a single woman.

Notary Public

My commission expires: _____